SECTION B (85 MARKS)

ANSWER ALL FOUR (4) QUESTIONS

QUESTION 1 (20 MARKS) *25 minutes*

(a) Bank statement for Sejahtera Enterprise for May 2017 shows the following details:

Date	Details	Cheque no.	Debit (RM)	Credit (RM)	Balance (RM)
May 1	Balance c/d				200
3	Deposit			6,000	6,200
4	Deposit			1,500	7,700
6	Cheque book charges		5		7,695
8	Cheque	89090	450		7,245
10	Cheque	89091	600		6,645
12	Cheque	89092	343		6,302
15	Credit transfer			542	6,844
20	Debit transfer		465		6,379
25	Interest received			245	6,624
29	Deposit			100	6,724
30	Bank charges		80		6,644

Sejahtera Enterprise cash book for May 2017 shows the following details:

March	Details	Cheque no.	RM	March	Details	Cheque no.	RM
1	Balance b/d		200	7	Kedai Mim	89090	450
3	Deposit		6,000	8	Mama Bhd	89091	600
4	Akashah		1,050	10	Saleh	89092	343
30	Syed		750	28	Zairi	89093	300
				29	Asiah		100
				31	Balance c/d		6,207
			8,000				8,000

Additional information:

1. All entries in the bank statement are deemed correct.
2. A cheque RM100 received from Asiah was recorded as payment in the cash book.
3. A cheque RM1,500 deposited on 4 May 2017 was wrongly recorded as RM1,050 in the cash book.

REQUIREMENT:

Prepare the bank reconciliation for Sejahtera Enterprise at 31 May 2017.

(10 marks)

(b) Information related to Miracle Company (MC) for 2017 is summarized below:

Total credit sales	RM1,000,000
Accounts receivable at December 31	RM369,000
Bad debts written off	RM22,150

REQUIREMENT:

(i) Assume that Miracle Company decides to estimate its bad debt expense to be 2% of credit sales. What amount of bad debt expense will Miracle record if Allowance for Doubtful Accounts has a credit balance of RM3,000?

(5 marks)

(ii) Assume that Miracle Company decides to estimate its bad debt expense based on 5% of accounts receivable. What amount of bad debt expense will Miracle Company record if Allowance for Doubtful Accounts has a credit balance of RM4,000?

(5 marks)

QUESTION 2 (20 MARKS) *25 minutes*

(a) Lautan Samudera Company has the following inventory, purchases, and sales data for the month of September 2016. The company uses a perpetual inventory system and moving-average cost valuation method.

Date	Transactions	Units	Cost Per Unit (RM)
Sept 1	Inventory	100	12.00
3	Purchases	200	11.80
6	Sales	220	15.00
10	Purchases	160	11.60
11	Purchases	140	11.20
18	Sales	200	14.90
23	Purchases	175	11.00
27	Sales	100	14.90
30	Sales	50	14.80

REQUIREMENT :

(i) Determine the cost of goods sold. (Round-up cost per unit to two decimal places)

(10 marks)

(ii) Determine the cost of inventory on hand at 30 September 2016.

(10 marks)

QUESTION 3 (20 MARKS) *25 minutes*

(a) On January 1, 2017, Berjaya Company (BC) purchased the following two machines for use in its production process.
Machine A: The cash price of this machine was RM58,000. Related expenditures included: sales tax RM2,750, shipping costs RM100, insurance during shipping RM75, installation and testing costs RM75, and RM90 of oil and lubricants to be used with the machinery during its first year of operation. BC estimates that the useful life of the machine is 4 years with a RM5,000 salvage value remaining at the end of that time period.

REQUIREMENT:

(i) Prepare the journal entry to record purchase of Machine A on January 1, 2017.

(ii) The journal entry to record annual depreciation at December 31, 2017, assuming the straight-line method of depreciation is used.

(b) Dickey's has equipment that cost RM45,000 and that has been depreciated RM26,000.

REQUIREMENT:

Record the disposal under the following assumptions.

(i) It was scrapped as having no value.

(ii) It was sold for RM29,000.

(iii) It was sold for RM10,000

QUESTION 4 (25 MARKS) *45 minutes*

(a) On January 1, 2017, Gagah Corporation issued RM800,000, 8%, 10-year bonds. Interest is payable annually on January 1.

REQUIREMENT:

Prepare journal entries to record:

(i) The issuance of bonds payable.

(ii) Adjustment for the year ended 31 December 2017.

(iii) The payment of interest on 1 January 2018